



**MANISH
SABHARWAL**
TEAMLEASE SERVICES



**Nearly 12
million people
enter the
workforce
each year, but
only a fraction
receive formal
skilling**

MASS PROSPERITY FROM HIGHER PRODUCTIVITY

India requires deregulation for employers, decentralisation of power, and deepening of human capital to reimagine our economic system

▶ INDIA CREATED MASS

democracy on the infertile soil of the world's most hierarchical society but failed to create mass prosperity on the fertile soil of a culturally open and assimilative society. In the remaining years to India@100, we have a real chance to combine both in a bold plan that reimagines our economic ecosystem through three pillars: deregulation for employers, decentralisation of power, and deepening of human capital.

DEREGULATION FOR EMPLOYERS

Nobel Laureate Daniel Kahneman reminded us that we tend to press the accelerator when we want to go faster, but often achieve better results by lifting our foot off the brake. India doesn't have a jobs problem but wages problem; this challenge reflects the productivity of our cities and firms more than citizens. Increasing our population of high wage employers requires cutting the regulatory cholesterol for employers captured by 60,000-plus compliances and 25,000-plus jail provisions embedded in state and central laws. Laws such as the Industrial Disputes Act require government

approval for layoffs in firms with more than 100 employees, deterring formal hiring, and most organisations are dwarfs (small that stay small) rather than babies (small that will grow). We should also be careful in positioning self-employment as a solution to mass prosperity; not everybody can be an entrepreneur, not all entrepreneurship is viable. Already half of India's labour force is self-employed. The poor cannot afford to be unemployed, so they are self-employed. Deregulation is not merely about ease of doing business. It is about unlocking an explosion in our population of formal, non-farm, high-productivity employers that will pay high wages.

DECENTRALISE POWER TO STATES

Indira Gandhi's notion that strong states lead to a weak nation was wrong then and is wrong now. India can't be run from Delhi and centralised policymaking often ignores the vast differences among states in terms of infrastructure, labour markets, and industrial readiness. Real growth demands empowering states to craft solutions tailored to their unique strengths. Prime Minister Modi's remark that "29 chief ministers matter more than one prime minister" echoes economic anthro-